

DIRECT AND INDIRECT FARM SUBSIDIES AND WTO RULES

FARM-SUPPORT TRANSMISSION RAIL → DELIVERY-CLASSIFICATION MATRIX → INCOME-SUPPORT BOUNDARY → FERTILISER SUPPORT CHAIN → NUTRIENT-PRICING SPLIT → WATER-ENERGY-CROP LOOP

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g2 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

00

STAGE 00 FARM-SUPPORT TRANSMISSION RAIL

FARM-SUPPORT TRANSMISSION RAIL DELIVERY CHANNEL ECONOMIC INCIDENCE BEHAVIOUR + OUTCOME + WTO TEST MUST REMEMBER FARM SUPPORT INCLUDES BUDGETARY TRANSFERS, PRICE SUPPORT, INPUT SUBSIDIES

DELIVERY CHANNEL

ECONOMIC INCIDENCE

BEHAVIOUR + OUTCOME + WTO TEST

MUST REMEMBER: Farm support includes budgetary transfers, price support, input subsidies

CORE CLAIM

- DELIVERY CHANNEL
- ECONOMIC INCIDENCE

MECHANISM

- BEHAVIOUR + OUTCOME + WTO TEST
- MUST REMEMBER: Farm support includes budgetary transfers, price support, input subsidies,...

CONSEQUENCE / LIMIT

- DELIVERY CHANNEL
- ECONOMIC INCIDENCE

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MUST REMEMBER: Farm support includes budgetary transfers, price support, input subsidies,.

01

STAGE 01 DELIVERY-CLASSIFICATION MATRIX

DELIVERY-CLASSIFICATION MATRIX FISCAL VISIBILITY WTO CRITERIA LEGAL RESULT

CORE CLAIM

DIRECT / INDIRECT → delivery
EXPLICIT / IMPLICIT → fiscal visibility

MECHANISM

GREEN / AMBER / BLUE → WTO criteria
LABEL != legal result

CONSEQUENCE / LIMIT

DIRECT / INDIRECT → delivery
EXPLICIT / IMPLICIT → fiscal visibility

CORE CLAIM

- DIRECT / INDIRECT → delivery
- EXPLICIT / IMPLICIT → fiscal visibility

MECHANISM

- GREEN / AMBER / BLUE → WTO criteria
- LABEL != legal result

CONSEQUENCE / LIMIT

- DIRECT / INDIRECT → delivery
- EXPLICIT / IMPLICIT → fiscal visibility

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: GREEN / AMBER / BLUE → WTO criteria.

02

STAGE 02 INCOME-SUPPORT BOUNDARY

INCOME-SUPPORT BOUNDARY ELIGIBLE RECORD CASH TRANSFER HOUSEHOLD LIQUIDITY TENANT + SHARECROPPER EXCLUSION RISK

ELIGIBLE RECORD

CASH TRANSFER

HOUSEHOLD LIQUIDITY

TENANT + SHARECROPPER exclusion risk

CORE CLAIM

- ELIGIBLE RECORD
- CASH TRANSFER

MECHANISM

- HOUSEHOLD LIQUIDITY
- TENANT + SHARECROPPER exclusion risk

CONSEQUENCE / LIMIT

- ELIGIBLE RECORD
- CASH TRANSFER

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CASH TRANSFER; HOUSEHOLD LIQUIDITY; TENANT + SHARECROPPER exclusion risk.

03

STAGE 03 FERTILISER SUPPORT CHAIN

FERTILISER SUPPORT CHAIN COMPANY CLAIM AFTER POS SALE LOWER FARMER PRICE BUYER CASH TRANSFER

COMPANY CLAIM AFTER PoS SALE

LOWER FARMER PRICE

DBT != buyer cash transfer

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: GROUNDWATER FALL — MORE ENERGY; REFORM needs crop + aquifer safeguards.

06

STAGE 06 RISK-SUPPORT AUDIT

RISK-SUPPORT AUDIT SPECIFIED RISK TRANSFER BASIS RISK + DELAY VIABLE FARM SYSTEM

INSURANCE → specified risk transfer

BASIS RISK + DELAY

CREDIT → liquidity

SUBSIDY != viable farm system

CORE CLAIM

- CREDIT → liquidity
- INSURANCE → specified risk transfer

MECHANISM

- BASIS RISK + DELAY
- SUBSIDY != viable farm system

CONSEQUENCE / LIMIT

- CREDIT → liquidity
- INSURANCE → specified risk transfer

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: BASIS RISK + DELAY; SUBSIDY != viable farm system.

07

STAGE 07 PRICE-SUPPORT DISTINCTIONS

PRICE-SUPPORT DISTINCTIONS ACTUAL OPERATION FISCAL EXPENDITURE WTO METHODOLOGY

PROCUREMENT → actual operation

BUDGET → fiscal expenditure

MSP → announcement

AMS → WTO methodology

CORE CLAIM

- MSP → announcement
- PROCUREMENT → actual operation

MECHANISM

- BUDGET → fiscal expenditure
- AMS → WTO methodology

CONSEQUENCE / LIMIT

- MSP → announcement
- PROCUREMENT → actual operation

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: BUDGET → fiscal expenditure; AMS → WTO methodology.

08

STAGE 08 WTO BOX MAP

WTO BOX MAP NON-EXEMPT DISTORTION CRITERIA-BASED MINIMAL DISTORTION PRODUCTION-LIMITING PAYMENT ARTICLE 6.2 DEVELOPMENT FLEXIBILITY

GREEN → criteria-based minimal distortion

BLUE → production-limiting payment

AMBER → non-exempt distortion

ARTICLE 6.2 → development flexibility

CORE CLAIM

- AMBER → non-exempt distortion
- GREEN → criteria-based minimal distortion

MECHANISM

- BLUE → production-limiting payment
- ARTICLE 6.2 → development flexibility

CONSEQUENCE / LIMIT

- AMBER → non-exempt distortion
- GREEN → criteria-based minimal distortion

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: BLUE → production-limiting payment; ARTICLE 6.2 → development flexibility.

09

STAGE 09 DE MINIMIS AND AMS

DE MINIMIS AND AMS SEPARATE TEST DEVELOPING COUNTRY GENERAL 10% PRICE GAP X ELIGIBLE PRODUCTION CLOSE DISTINCTION DIRECT VERSUS INDIRECT SUBSIDY IS NOT WTO GREEN/AMBER/BLUE

PRODUCT-SPECIFIC → separate test

NON-PRODUCT-SPECIFIC → separate test

DEVELOPING COUNTRY → general 10%

PRICE GAP x ELIGIBLE PRODUCTION

CLOSE DISTINCTION: Direct versus indirect subsidy is not WTO green/amber/blue

CORE CLAIM

- PRODUCT-SPECIFIC → separate test
- NON-PRODUCT-SPECIFIC → separate test

MECHANISM

- DEVELOPING COUNTRY → general 10%
- PRICE GAP x ELIGIBLE PRODUCTION

CONSEQUENCE / LIMIT

- CLOSE DISTINCTION: Direct versus indirect subsidy is not WTO green/amber/blue...
- PRODUCT-SPECIFIC → separate test

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: BLUE → production-limiting payment; ARTICLE 6.2 → development flexibility.

09

STAGE 09 DE MINIMIS AND AMS

DE MINIMIS AND AMS SEPARATE TEST DEVELOPING COUNTRY GENERAL 10% PRICE GAP X ELIGIBLE PRODUCTION CLOSE DISTINCTION DIRECT VERSUS INDIRECT SUBSIDY IS NOT WTO GREEN/AMBER/BLUE

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PRICE GAP x ELIGIBLE PRODUCTION

CLOSE DISTINCTION: Direct versus indirect subsidy is not WTO green/amber/blue

CORE CLAIM

- PRODUCT-SPECIFIC → separate test
- NON-PRODUCT-SPECIFIC → separate test

MECHANISM

- DEVELOPING COUNTRY → general 10%
- PRICE GAP x ELIGIBLE PRODUCTION

CONSEQUENCE / LIMIT

- CLOSE DISTINCTION: Direct versus indirect subsidy is not WTO green/amber/blue...
- PRODUCT-SPECIFIC → separate test

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Direct versus indirect subsidy is not WTO green/amber/blue.

10

STAGE 10 PUBLIC-STOCKHOLDING STATUS

PUBLIC-STOCKHOLDING STATUS FOOD-SECURITY PROGRAMME BALI 2013 INTERIM SHIELD TRANSPARENCY + CONDITIONS PEACE CLAUSE PERMANENT SOLUTION EVIDENCE LIMIT QUALIFY ELIGIBLE PRODUCTION VALUE, EXTERNAL

FOOD-SECURITY PROGRAMME

BALI 2013 INTERIM SHIELD

TRANSPARENCY + CONDITIONS

PEACE CLAUSE != permanent solution

CORE CLAIM

- FOOD-SECURITY PROGRAMME
- BALI 2013 INTERIM SHIELD

MECHANISM

- TRANSPARENCY + CONDITIONS
- PEACE CLAUSE != permanent solution

CONSEQUENCE / LIMIT

- EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Qualify eligible production value, external...
- FOOD-SECURITY PROGRAMME

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Qualify eligible production value, external.

11

STAGE 11 FARM-SUBSIDY ANSWER SPINE

FARM-SUBSIDY ANSWER SPINE CLASSIFY DELIVERY + OBJECTIVE TRACE INCIDENCE + DISTORTION APPLY WTO CATEGORY + STATUS REFORM WITH TRANSITION PROTECTION

CLASSIFY delivery + objective

TRACE incidence + distortion

APPLY WTO category + status

REFORM with transition protection

CORE CLAIM

- CLASSIFY delivery + objective
- TRACE incidence + distortion

MECHANISM

- APPLY WTO category + status
- REFORM with transition protection

CONSEQUENCE / LIMIT

- CLASSIFY delivery + objective
- TRACE incidence + distortion

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: APPLY WTO category + status; REFORM with transition protection.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT IF SUPPLY IS INELASTIC, PART OF SUPPORT MAY RAISE IF DEMAND EXPANDS STRONGLY, FISCAL AND ENVIRONMENTAL COST RISES IF LAND IS RENTED, EXPECTED SUBSIDY BENEFITS MAY BE IF OUTPUT SUPPLY RISES, CONSUMERS MAY RECEIVE PART OF

RATIONING, QUEUES OR POOR QUALITY CAN OFFSET THE NOMINAL COUPLING IS NOT AUTOMATICALLY BAD TEMPORARY ADOPTION SUPPORT MAY INTENTIONALLY CHANGE

OPTIONAL SOURCE DEPTH

- if supply is inelastic, part of support may raise supplier rent;
- if demand expands strongly, fiscal and environmental cost rises;
- if land is rented, expected subsidy benefits may be capitalised into rent;
- if output supply rises, consumers may receive part of the benefit through lower prices;

ADVANCED DEBATE

- rationing, queues or poor quality can offset the nominal price benefit.
- Coupling is not automatically bad: temporary adoption support may intentionally change
- Decoupling is not automatically equitable: land-based historical entitlements can
- The correct question is whether the induced behaviour serves a legitimate objective and

LEGACY / NUANCE

- farmers receiving the benefit;
- utilities, banks, insurers and procurement agencies;
- regions/crops organised around the support;
- political actors promising continuity.

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.